They can avail the facility of rediscount of first class exchange bills from RBI.

2. Non-Scheduled Banks

The banks which are not included in the second schedule are called non-scheduled banks. Like scheduled banks, these banks also have to follow the conditions regarding Cash Reserve Ratio (CRR) but can keep the reserve in its custody and need not deposit with RBI. These banks are not eligible for loan from RBI, but become eligible under emergency conditions.

Regional Rural Banks (RRB)

These banks were established since 1975, under RRBs Act 1976. RRBs were set up in all states except Sikkim and Goa. Totally 196 banks were set up by public sector banks. The public sector bank which set up a particular RRB is called the sponsor bank of that RRB. For example Pandian Gram Bank was set up by Indian Overseas Bank. Hence Indian Overseas Bank is called sponsor bank of Pandian Gram bank.

The purpose is to further increase credit flow to rural areas. RRBs were established to lend to weaker sections called target group such as landless labourers, artisans and craftsmen at concessional rates. From 1997, RRBs were freed to lend outside the target group.

Since April 1987, no new RRBs have been opened due to the Kelkar committee's recommendations. Many of the RRBs became unviable or less profitable. To solve the problem, weak banks are being merged with the efficient banks. The merging of RRBs is going on. Now, they, gain more autonomous power also.

Cooperative Banks

Cooperative banks are established by state laws. These banks are